AFFORDABILITY COVENANT

Cannery Flats · 8 Wharf Lane, Port Wren, Osprey County

Recorded in the land records of Osprey County, Book 412, Page 88.

This Affordability Covenant (this "Covenant") is made on May 20, 2019 by Cannery Flats Housing Partners LLC (the "Owner") for the benefit of the Town of Port Wren (the "Town").

PART 1. BACKGROUND

1.1 The Owner is converting the former cannery at 8 Wharf Lane into 140 rental apartments.

1.2 The Town has paid the Owner a construction grant of $2,100,000 from the Port Wren Housing Fund.

PART 2. RESTRICTED APARTMENTS

2.1 The Owner shall keep 22 of the 140 apartments in the building as restricted apartments, in the mix shown in Schedule 1.

Schedule 1

Apartment size	Restricted apartments
Studio	6
One bedroom	10
Two bedroom	6
Total	22

PART 3. WHO MAY RENT

3.1 A restricted apartment shall be leased only to a household with income not greater than sixty percent (60%) of area median income.

3.2 The Owner shall check each household's income before the lease is signed and keep the papers for five years.

PART 4. RENT

4.1 Rent for a restricted apartment shall not exceed the maximum rent published each year by the Osprey County Housing Office for the sixty percent income level.

PART 5. HOW LONG

5.1 This Covenant shall remain in effect until June 30, 2049.

PART 6. WHO IS BOUND

6.1 This Covenant runs with the land and binds the Owner and every later owner of the building.

PART 7. YEARLY RENT ROLL

7.1 The Owner shall submit a certified rent roll to the Town each year no later than February 15.

PART 8. DEFAULT

8.1 The Town shall send the Owner written notice of a default.

8.2 If the Owner fails to cure a default within 90 days after written notice, the Owner shall repay the Town the full amount of the construction grant.

SIGNED by the parties on the dates below.

CANNERY FLATS HOUSING PARTNERS LLC	TOWN OF PORT WREN
By: /s/ Managing Member	By: /s/ Town Administrator
Date signed: May 16, 2019	Date signed: May 20, 2019

Acknowledged before a notary public of Osprey County on May 20, 2019.